I.2.b.G.

ECONOMIC SURVEYS

ARCHIVES-
REFERENCES

CANADA

I. 2. b. 6

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JANUARY 1967

BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq.km.)	9,976
Agricultural area (% of the total area)	7.0
Population of major cities including their metropolitan areas (June 1964):	
— Montreal	2,260,000
— Toronto	1,989,000

THE PEOPLE

Population (June 1966)	19,919,000
Number of inhabitants per sq.km.	2
Population, annual net natural increase (average 1960-65)	312,000
Net rate of annual increase per 1,000 inhabitants (average 1960-65)	16.6
Civilian labour force, (Oct. 1966)	7,519,000
Employment in agriculture (Oct. 1966)	561,000
Immigration (annual average 1960-65)	100,000

PRODUCTION

GNP in 1965 (millions of Canadian dollars)	51,996
GNP per head (Canadian dollars)	2,651
Capital investment (private and public) per head (Canadian dollars)	653
Capital investment (private and public) as % of GNP	24.6
Origin of Gross Domestic Product (1965):	
— Agriculture, forestry and fishing	6.5 %
— Mining and quarrying	4.2 %
— Manufacturing	26.3 %
— Construction	5.7 %
— Services	57.3 %

THE GOVERNMENT

General government current expenditure on goods and services (average 1961-65, % of GNP)	14.5
Federal Government current revenue (average 1961-65, % of GNP)	16.0
Federal direct and guaranteed debt, % of current expenditure (average 1961-65, %)	312.1

Composition of Parliament (Number of seats):

	House of Commons	Senate
Liberals	131	63
Conservatives	97	30
Ralliement Creditiste	9	
Social Credit	5	
New Democrats	21	
Independents	2	4
Vacant	—	5

Last election: November 1965

LIVING STANDARDS

Food consumption, calories per head per day, 1963-64	3,020
Number of passenger cars in use per 1,000 inhabitants (1964)	264
Number of telephones per 1,000 inhabitants (1963)	349
Average hourly earnings in manufacturing (Canadian dollars, 1965)	2.12

FOREIGN TRADE

Exports:	
Exports of goods and services as % of GNP (average 1961-65)	21.1
Main exports 1965 (% of commodity exports):	
— Wheat	10.3
— Newsprint	9.9
— Lumber	5.2
— Woodpulp	5.6
— Aluminium	4.2
— Iron ore	4.1
Main customers 1965 (% of commodity exports):	
— United States	57.0
— United Kingdom	13.5
— European Economic Community	7.3
Imports:	
Imports of goods and services as % of GNP (average 1961-65)	22.8
Main imports 1965 (% of commodity imports):	
— Industrial materials	26.8
— Motor vehicles and parts	13.5
— Producers' equipment	25.1
— Foods	8.0
Main suppliers 1965 (% of commodity imports):	
— United States	70.0
— United Kingdom	7.2
— European Economic Community	6.0

THE CURRENCY

Monetary unit: Canadian dollar.

Currency units per US dollar (fixed rate introduced May 1962)	1.081

ECONOMIC SURVEYS BY THE OECD

ARCHIVES -
RÉFÉRENCE
— DOC' PRÊTÉ
RETOUR BUREAU 706

CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in January 1967.

CONTENTS

Introduction 5

I Recent trends 5

Demand 7
Output and Employment 11
Incomes, Costs and Prices 13
The Balance of Payments 17

II Economic Policy 24

Federal Budget Policy.. 24
Monetary Policy. 25
Other Policy Measures 29
Federal-Provincial Finance 30

III Prospects and Policy Conclusions. 35

Statistical Annex 39

BLANK PAGE

INTRODUCTION

The problems facing demand-management policy changed in the latter part of 1965. Between the beginning of the present expansion in 1961 and 1965, policies were aimed at stimulating demand and reducing the slack in the economy. The margin of unused resources was progressively reduced, signs of strain becoming evident in certain sectors in 1965 and more widespread in 1966. The current external account improved slightly in 1966, following the reversal in 1965 of the trend towards a reduced deficit evident in earlier years, but prices and, especially, wage costs have been rising much faster than earlier. The emphasis of stabilisation policy has therefore been shifted towards restriction of the growth of demand, with a tightening of both monetary and budgetary policies.

There are indications that the expansion slowed down in the course of 1966; but the upward trend in prices and wages remained strong. An important objective of economic policy in 1967 will be to arrest the price and wage rise but to maintain a satisfactory rate of growth.

The first part of this Survey reviews current trends in the domestic economy and the balance of payments. Part II considers the fiscal, monetary and other policy measures of the past year. Part III discusses prospects and the main policy problems likely to face the authorities in 1967.

I. RECENT TRENDS

During the present expansion, real GNP has increased at an annual rate of more than 6 per cent. Compared with earlier business cycles, two features of the pattern of demand stand out. Firstly, the pattern has in general been better balanced than in the two preceding expansions. The growth rates for business gross fixed capital formation in total, and for non-residential construction in particular, which were excessive in the expansion of the mid-fifties and markedly deficient in that ot the late fifties, have been quite closely in line with the growth of the economy as a whole; these rates do, however, result from a relatively moderate advance in investment in the 1960-63 period, and a considerable acceleration subsequently. Secondly, the share of exports of goods and services has

TABLE 1. CHANGES IN COMPONENTS OF GROSS NATIONAL EXPENDITURE OVER THREE POST-WAR PERIODS

Annual compound growth rate in volume over period.

	2 Q 1953 TO 2 Q 1957 (17 QUARTERS)	2 Q 1957 TO 1 Q 1960 (11 QUARTERS)	1 Q 1960 TO 3 Q 1966 (26 QUARTERS)
Personal expenditure on consumer goods and services	6.4	5.2	6.4
Government expenditure on goods and services	6.8	5.6	8.4
Business gross fixed capital formation	10.4	— 2.0	5.0
New residential construction	4.4	5.6	4.4
New non-residential construction	16.0	— 6.0	8.4
New machinery and equipment	8.4	— 2.0	9.2
Non-farm business inventories ($ *million*)	— 184	624	— 364
Farm inventories and grain in commercial channels ($ *million*)	12	28	0
Exports of goods and services	3.2	5.6	9.2
Imports of goods and services	6.8	2.0	8.4
Gross national expenditure (excluding error of estimate)	6.2	5.2	7.2

Source: National Accounts, Income and Expenditure.

been greater than in previous similar phases; this has been an important element in the better performance of the current external account in the first half of the 1960's. Larger wheat sales have been an important factor, but non-food exports have also risen faster than earlier, reflecting inter alia the improved competitive position of Canadian industry following the devaluation of 1962.

In 1966 real GNP probably rose by more than 6 per cent, but decelerated in the course of the year under the influence of more restrictive official Canadian policies and developments in the United States. Short-term movements of Canadian business indicators are irregular, but there seems to have been a very sharp expansion in the first quarter, followed by a marked slow-down in the second, and a slight decline in real GNP in the third quarter according to provisional figures (see Table 2). In the second half of the year real GNP was probably rising at an annual rate considerably less than in the year as a whole, with some change in the pattern of demand.

Demand

Exports of goods and services continued to rise strongly in 1966. Imports also increased rapidly, influenced by the domestic expansion, but rose more slowly than exports. Net exports therefore constituted an expansionary element in 1966, reversing the trend of the previous year.

Government expenditure on goods and services rose by 14.6 per cent (7.2 per cent in volume) between the first three quarters of 1965 and 1966, much faster than earlier. Further measures were taken in the March, 1966 budget to restrict the growth of public spending, especially on building and construction, where demand pressures had been strong. That federal spending nevertheless increased sharply was due in large part to higher wage costs resulting from biennial pay reviews, in some cases involving retroactive payments; in current prices, the increase in provincial and municipal expenditures was higher still, partly for the same reason, and these have in general been rising much faster than federal spending in the recent past. The rise in domestic prices — particularly sharp in building and construction — has also affected government expenditure, notably at the provincial and municipal level, because of the heavy weight of construction in their expenditure.

Gross fixed investment has risen sharply in recent years. The mid-year investment survey pointed to a 17 per cent increase in current prices in 1966. This would raise the ratio of gross fixed asset formation to GNP to 26 per cent; in the 1960-1963 period the ratio stood at 22 per cent. Given the strains on domestic resources, however, the 17 per cent increase may not have been fully attained.

TABLE 2. CHANGES IN DEMAND

Per cent change[1], 1957 prices.

	1961	1962	1963	1964	1965	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.	1966 1st QTR.	1966 2nd QTR.	1966 3rd QTR.
Personal expenditure	3.1	4.6	4.5	6.3	6.0	3.3	8.4	9.4	7.3	2.4	—2.7	12.2
Government expenditure	4.7	3.8	0.5	4.0	6.2	8.0	10.0	2.1	2.7	8.6	11.2	22.3
Current expenditure	5.3	1.5	1.4	4.8	2.0							
Gross fixed capital formation	3.1	10.6	—1.6	1.8	18.2							
Business gross fixed capital formation	—1.7	2.1	5.8	14.9	9.7	3.1	6.3	26.1	17.2	10.0	4.9	—16.4
Residential construction	0.4	5.0	4.7	12.3	0.2	—21.6	22.8	—12.4	—6.8	7.9	9.7	—34.7
Non-residential construction	3.7	—3.8	4.0	13.5	10.9	27.2	—15.6	31.9	15.5	19.3	11.5	—21.2
Machinery and equipment	—8.0	6.8	8.3	17.7	13.7	—5.6	18.8	40.4	29.4	3.2	—2.8	—4.0
Change in inventories as percentage of GNP	0.1	1.4	1.3	0.8	2.1	2.9	2.6	1.6	1.4	1.7	2.8	1.2
Exports of goods and services	7.2	5.0	9.0	13.1	5.0	6.2	11.0	8.2	12.5	29.3	—7.6	10.4
Imports of goods and services	1.4	2.1	2.9	12.2	12.1	14.2	15.1	10.9	23.9	3.4	1.1	15.8
GNP	2.6	6.7	5.1	6.5	6.6	12.0	5.1	8.1	3.9	12.0	2.6	—1.2

1. Quarterly changes relate to changes over previous quarter, at seasonally adjusted annual rates.

Source: National Accounts, Income and Expenditure.

TABLE 3. PRIVATE AND PUBLIC INVESTMENT 1962 TO 1966 IN CURRENT PRICES

Per cent change on previous year.

	1962	1963	1964	1965	1966[1]
Business gross fixed capital formation	4.9	9.1	19.9	14.5	18.0
Residential construction	8.2	8.2	18.4	5.1	— 0.7
Non-residential capital formation	4.0	9.3	20.4	17.2	22.8
Non-residential construction	— 1.7	7.5	18.4	17.8	23.3
Machinery and equipment	10.1	11.1	22.1	16.7	22.4
Direct government outlays	14.2	2.7	2.2	29.0	14.5
Total private and public investment	6.6	7.8	16.5	16.9	17.4

1. Mid-year survey of capital investment intentions.

Source: National Accounts, Income and Expenditure, Private and Public Investment in Canada.

In the first half of the year business investment (excluding housing) continued to rise sharply, notably in building and construction, helped by the fact that construction capacity and skilled manpower were employed at unusually high levels throughout the winter months. The rise was much more marked in current than in constant prices, as continued pressure on the industry in some areas (particularly Montreal, where much work remained to be done for Expo '67) resulted in an appreciable rise in wages. Expenditure on machinery and equipment increased further, but at a much slower pace, and with a slight decline in the second quarter. Provisional third quarter figures showed a decline in the volume of business investment, notably in building and construction.

Housing starts, which were affected by the sharp decline in available mortgage funds, turned down in the second half of 1965 and continued to decline sharply in 1966. Although a high rate of completions sustained overall activity in the early part of 1966, in the third quarter residential construction outlays dropped sharply. By August the number of starts in urban centres with populations of 5,000 or more had fallen to an annual rate of 88,000 from 139,000 in 1965. The decline was particularly strong in apartment-building. Single family dwelling starts were less affected since this part of the market is more dependent for its mortgage funds on government direct lending through the Central Mortgage and Housing Corporation (CMHC), the scale of which was maintained at about the same level as in 1965. In September and October, urban housing starts showed a sharp recovery to a seasonally adjusted annual rate of about 123,000 but in large part this reflected a shifting forward of the timing of CMHC loans under the programme to encourage winter building. In November and December, urban starts declined again to an average annual rate of 93,500.

TABLE 4. INVENTORY CHANGES

$ million.

	1961	1962	1963	1964	1965	1966[1]		
						1st QTR.	2nd QTR.	3rd QTR.
Non-farm	439	310	244	516	905	660	1,292	560
Manufacturing	271	206	64	235	442	432	460	388
Wholesale	79	— 24	33	65	118	— 88	372	36
Retail	110	127	141	192	249	240	392	116
Others	— 21	1	6	24	96	76	68	20
Farm[2]	— 409	222	291	— 130	43	96	248	52

1. Seasonally adjusted annual rates.
2. Including grain in commercial channels.

Source: National Accounts, Income and Expenditure.

Additions to non-farm inventories in 1965, valued at $ 905 million (Table 4) were well above the rates experienced in earlier years of the expansion. Almost half the increase took place in manufacturing and most of the remainder in the wholesale and retail trades. The rate of accumulation fell to an annual rate of $ 660 million in the first quarter of 1966, still high by the standards of recent years, and then jumped to a $ 1.3 billion rate in the second quarter, the highest quarterly rate since the expansion began. Stock-building in manufacturing remained high, but the stock/sales ratio was still slightly below the average rate experienced since 1961. The main rise took place at wholesale and retail levels during the second quarter; a decline in the volume of personal expenditure, especially on automobiles, which accounted for one-third of the rise in retail stocks, was an important explanatory factor. As a result, the stock/sales ratio in both sectors of distribution rose appreciably above the average rate prevailing since 1961. Preliminary data suggest that inventory accumulation fell back strongly to a more normal level in the third quarter ($ 560 million seasonally adjusted annual rate). The retail and wholesale sectors were mainly responsible for the decline in the rate of inventory investment; retail motor vehicle dealers in particular showed a sharp fall in stocks.

Although personal disposable income rose substantially in the first half of 1966, the rise in the volume of personal expenditure on a seasonally adjusted basis slowed down in the first quarter and fell slightly in the second, entailing a strong increase in the savings ratio. Part of this movement may have been statistical rather than real, reflecting difficulties in adjusting for seasonal influences. But there seems to have been some change in the underlying trend. Purchases of durable goods

were the most affected, the explanation lying partly in a bunching of purchases, particularly of automobiles, prior to the raising of the Ontario sales tax on 1st April. But the reaction in the second quarter, when new car sales slumped by about one-fifth, was not limited solely to Ontario, and it affected a wide range of products. Another factor may have been difficulty in obtaining credit. Private consumption seems to have recovered quite strongly in the third quarter, led by a 30 per cent increase in the value of automobile sales. Demand for other goods and services also rose significantly.

Output and Employment

The expansion of real output slowed in the second quarter from the unsustainably high growth recorded in the first. Industrial production in the third quarter was virtually unchanged from the second quarter level, with the July total showing a decline which was offset by later gains. Durables production in the third quarter was fractionally above the second-quarter level. Output of non-durables remained almost stationary from March onwards. Third-quarter production was adversely affected by strikes., especially on the railways, although there was also some adjustment of output, particularly in automobiles, to meet an unusually high level of inventories. Once the major strikes were settled, economic activity began to increase in the latter weeks of the third quarter and into the final quarter of the year.

The expansion has been accompanied by a strong increase in employment and a decline in unemployment (Table 5). Since the autumn of 1965 the rise in the labour force has been exceptionally strong, about 4 per cent a year, and the unemployment rate has remained practically stable. The sharp increase in the labour force in 1966 was to a large extent the result of a substantial increase in the number of youths aged 20-24. Moreover, the strong demand for labour has led to an increase in labour force participation rates, particularly for women. There has also been a steady increase in immigration in recent years, rising from 72,000 in 1961 to 147,000 in 1965, and to an annual rate of 172,000 in the first half of 1966.

The seasonally adjusted unemployment rate has moved irregularly around an average of about 3.5 per cent since the second half of 1965 (last December it was 3.6 per cent). Labour market policies have been applied very actively over the past year, with strong emphasis on technical and vocational training programmes and measures to stimulate geographical mobility. Nevertheless, the expansion of demand has entailed considerable strains in certain sectors, notably construction, and shortages of skilled labour. Table 6 shows that regional disparities in unemployment remain important.

TABLE 5. TRENDS IN LABOUR FORCE, EMPLOYMENT AND UNEMPLOYMENT

	1961	1962	1963	1964	1965				1966			
					1st QTR	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
Civilian labour force *(in thousands)*[1]	6,521	6,615	6,748	6,933	7,075	7,138	7,146	7,196	7,344	7,388	7,465	7,490
Participation rate[2]	54.1	53.9	53.8	54.1	54.4	54.6	54.2	54.3	55.1	55.0	55.2	55.0
Total immigration *(in thousands)*[3]	72	75	93	113	89	162	182	153	123	221	—	—
Unemployed *(in thousands)*[1]	466	390	374	324	286	301	279	245	256	258	301	268
as a percentage of civilian labour force[1]	7.1	5.9	5.5	4.7	4.0	4.2	3.9	3.4	3.5	3.5	4.0	3.6

1. Quarterly figures are averages of seasonally adjusted monthly figures.
2. Civilian labour force as a percentage of civilian non-institutional population (14 years of age and over).
3. Quarterly figures at annual rates.

Source: Dominion Bureau of Statistics.

TABLE 6. REGIONAL UNEMPLOYMENT

Regional unemployment rate as percentage of Canadian rate.

REGION	1961	1962	1963	1964	1965	1966
Atlantic provinces	158	181	173	166	192	178
Quebec	130	127	136	136	141	131
Ontario	77	73	69	68	67	69
Prairie provinces	65	66	67	66	67	58
British Columbia	120	112	116	113	108	125
Canada (actual unemployment rate)	7.1	5.9	5.5	4.7	3.9	3.6

Source: Canadian Statistical Review.

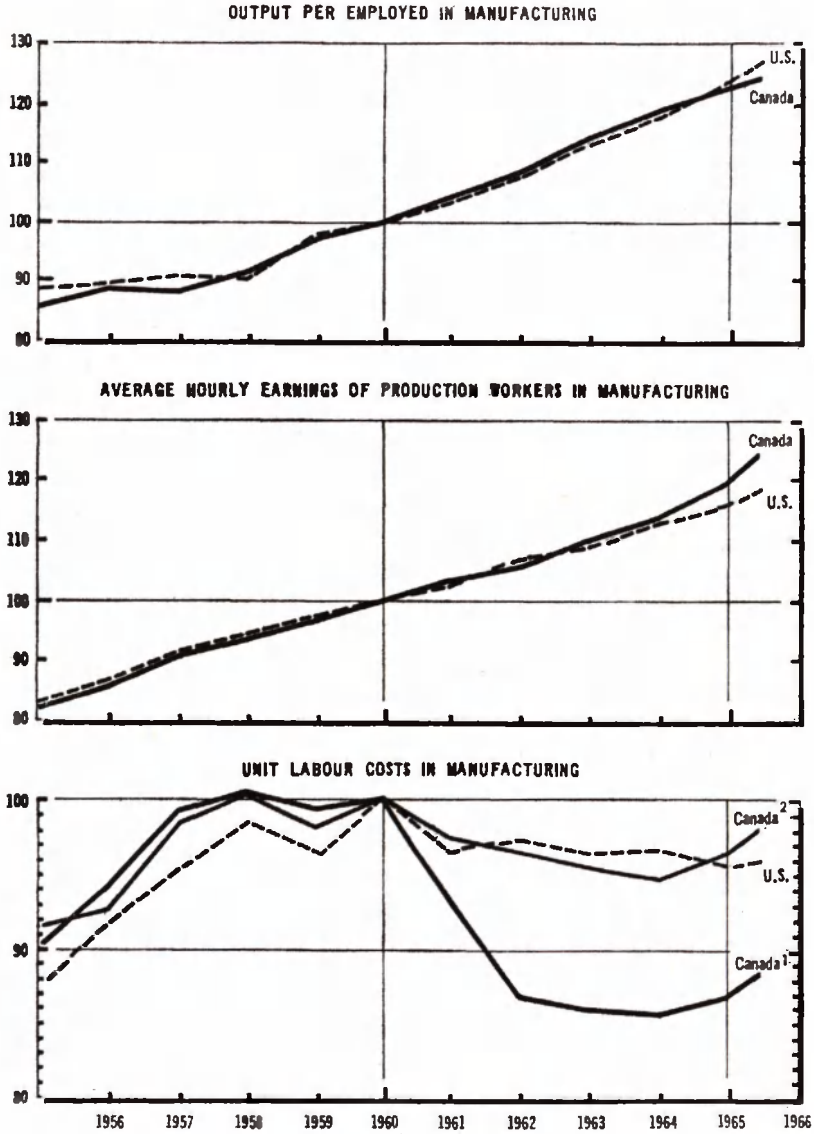
The rate of growth of productivity has been relatively low in recent years — lower than in the United States, Canada's most important competitor in both domestic and foreign markets. It probably fell lower in 1966, when the margin of unused resources was largely absorbed.

Incomes, Costs and Prices

The decline of unemployment in 1965 and 1966 to what was, in Canadian experience, an exceptionally low level, brought about a marked change in the labour situation. Table 7 shows that since the beginning of the present expansion in 1961, the rate of increase in wages and salaries and total labour income (which amounts to nearly 70 per cent of total personal income) has accelerated progressively in both goods and service industries. Wages in the construction industry have risen particularly fast. In the 1961-64 period, despite the large increases, unit labour costs in manufacturing declined, as output was rising even faster (Diagram 1). In 1965 and 1966, however, unit labour costs started to rise when the growth of incomes outstripped production. A gap has opened up between the trend of costs in Canada and the United States where, despite the buoyant conditions prevailing in 1965 and 1966, unit labour costs in manufacturing were remarkably stable. The Economic Council of Canada has stressed that, if continued for any great length of time, this divergence in costs could have fundamental effects on the competitiveness of Canadian industry. It recommended policies for improving education and training of the labour force and competitiveness in foreign trade, and for expanding research and development in industry. A number of measures to this end have already been taken[1] but much remains to be done.

1. Cf. the OECD Economic Survey of Canada, December 1965, and the section devoted to economic policies in the present Survey.

Diagram 1. **PRODUCTIVITY AND UNIT LABOUR COSTS IN MANUFACTURING INDUSTRY IN CANADA AND THE UNITED STATES, 1960 = 100**



1. Adjusted for fluctuations in the rate of exchange.
2. Unadjusted for fluctuations in the rate of exchange.

Source : Employment and earnings (US), Canadian Statistical Review and Secretariat's estimates.

TABLE 7. **LABOUR INCOME**

Annual percentage changes.

	1961	1962	1963	1964	1965	1966[1]
Labour income	4.1	6.5	6.5	8.8	11.1	13.0
Wages and salaries	4.2	6.7	6.6	8.9	11.3	12.6
Manufacturing industry	1.1	7.4	6.1	8.9	10.3	12.1
Other goods industries	—0.2	6.4	3.9	8.9	16.7	18.1
Government services	7.0	6.1	6.6	6.0	7.5	11.2
Other services	7.0	6.4	7.8	9.4	11.1	11.3
Supplementary income[2]	3.1	2.7	3.8	5.9	5.3	23.8[3]

1. Percentage change between January-August 1965 and January-August 1966, seasonally adjusted.
2. Employers' contributions to employee welfare and pension funds, to workmen's compensation and industrial vacation funds, and to the UIF
3. Introduction of Canada and Quebec pension schemes.

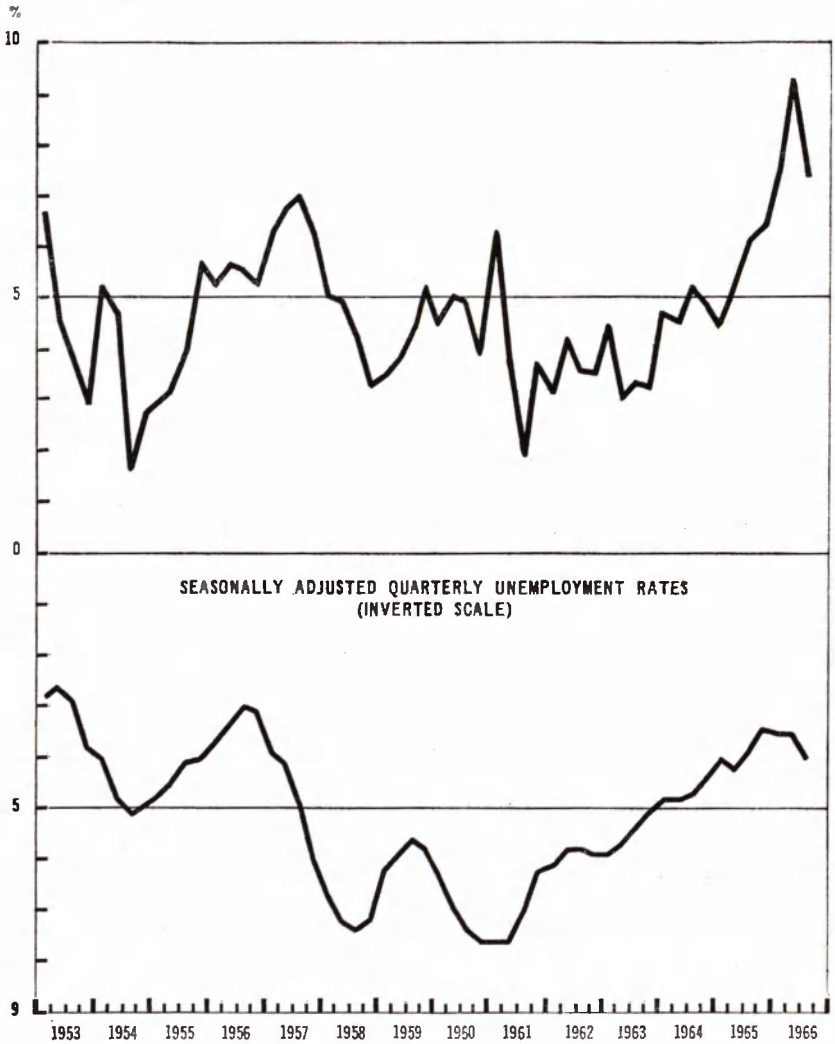
Source: Dominion Bureau of Statistics " Estimates of Labour Income ".

An important factor behind the sharp rise in labour income has been the very marked increase in wages granted in negotiated settlements in 1965 and 1966 (Diagram 2), most of them for terms of two years or more. In the first half of 1966, collective bargaining involving negotiating units of 1,000 or more employees (but excluding the construction industry, where there were also some sizeable wage increases) resulted in 34 settlements, all of which provided for wage increases to take effect in 1966; 15 of them, covering 59,000 out of the total of 104,000 employees involved, stipulated increases in basic rates of 8-12 per cent. Settlements which also covered 1967 and 1968 provided for increases within the 6-10 per cent range in both years. Unionized labour accounts for only about one quarter of the total labour force, and the wage settlements in the first half of 1966 applied to only a small minority of all civilian employees, but the increases granted undoubtedly had significant " demonstration " effects elsewhere in the economy. No large wage contracts fall due for negotiation early in 1967, but towards the end of the year and early in 1968 negotiations will take place in the automobile and certain other important engineering industries.

The rise in corporate profits, very strong in recent years, slowed down considerably in the first half of 1966. Moreover, in the third quarter there was a rather substantial fall in profits, reflecting inter alia the limited scope for further increases in capacity utilisation rates, the sharp rise in wage costs and strikes in a number of industries. The corporate cash flow (retained earnings plus capital consumption allowances) has also become more moderate, increasing the need for external financing.

Diagram 2. **WAGE RATES AND UNEMPLOYMENT**

Average annual percentage increase in base rate wages in industry excluding railways and construction over life of collective agreements[1]



1. Collective Agreements covering 500 or more employees. Data relate to quarter in which agreements were signed.

Source : Canadian Statistical Review. Economic Council of Canada.

The general upward movement of prices accelerated in 1966 (Table 9). In all the main sectors of personal expenditure, the rise in prices in the first half of 1966 was well above the rate experienced in 1965. Prices in the business fixed investment sector rose sharply in the second quarter because of increases in both residential and non-residential construction costs, largely associated with the substantial rise in wages. The price rise in the machinery and equipment sector also accelerated, particularly in the case of manufacturing equipment, with higher import prices an important factor. Export prices have also risen with greater world demand for such commodities as wheat and copper. In the third quarter of 1966 prices on the whole may have advanced at a slightly reduced rate compared with the two previous quarters. The price deflator for personal expenditure showed a moderate increase compared with the two preceding quarters, partly due to the slowdown in food prices, and partly to the effect in the second quarter of the increase in the Ontario sales tax, while the rise in construction costs also moderated somewhat.

The consumer price index rose by 3.7 per cent in 1966, following an increase of 2.4 per cent in 1965 and one of 1.8 per cent in 1964. A number of special factors contributed to the rise in 1966 — meat shortages, the increase in the Ontario sales tax, and the introduction of the Canada and Quebec Pension Plans in January 1966, as employers passed on in higher prices the additional payroll costs. The main factors behind the recent price rise, however, were the increase in wage costs and buoyant demand conditions. The rise in consumer prices has not yet shown much tendency to slow down. Industrial selling prices, being less affected by service costs and taxes, have risen much more moderately.

The Balance of Payments

Between 1959 and 1964, the deficit on the current account of the balance of payments was reduced from $ 1.5 billion to $ 0.4 billion[1]. This trend was reversed in 1965 when the deficit exceeded $ 1 billion, with a marked drop in the trade surplus and a further increase in the deficit on services. The deficit fell somewhat in 1966, but a lower net capital inflow, partly the result of official intervention, led to some fall in the reserves.

The decline in the trade surplus in 1965 reflected a marked slowdown of the rise in exports; shipments under the first wheat contract

1. The balance of payments in terms of OECD concepts—showing the balance on non-monetary transactions and the official settlements account—is given in the statistical annex.

TABLE 8. BUSINESS PROFITS AND SAVING

$ million, seasonally adjusted annual rates.

	1965				1966		
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
Corporate profits before tax	5,040	5,112	5,344	5,300	5,368	5,320	4,916
Manufacturing	2,348	2,356	2,428	2,352	2,504	2,396	2,084
Non-manufacturing	2,692	2,756	2,916	2,948	2,864	2,924	2,832
Less: corporate direct taxes	2,060	2,136	2,192	2,268	2,108	2,240	2,188
charitable contributions	44	44	44	44	44	44	44
dividends	1,508	1,524	1,588	1,568	1,620	1,640	1,700
Corporate retained earnings	1,428	1,408	1,520	1,420	1,596	1,396	984
Plus: capital consumption, allowances, etc.	5,944	6,092	6,128	6,276	6,428	6,656	6,528
adjustment on grain transactions	— 516	252	60	28	— 136	328	208
capital assistance	80	84	84	88	32	84	56
Business gross saving	6,936	7,836	7,792	7,812	7,920	8,464	7,776

Source: National Accounts, Income and Expenditure.

TABLE 9. IMPLICIT PRICE INDICES

Seasonally adjusted percentage change from previous quarter.

	1965				1966		
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
Personal expenditure	0.4	0.7	0.4	0.7	1.1	1.1	0.3
Food	0.5	2.2	0.5	1.4	3.1	1.2	
Non-food commodities	—	0.2	0.1	0.3	0.4	1.3	
Total goods	0.2	0.9	0.2	0.6	1.4	1.3	
Services	0.6	0.7	0.8	0.7	1.0	0.9	0.8
Government expenditure on goods and services	1.5	0.7	0.7	2.2	2.9	0.5	1.3
Business gross fixed capital formation	1.8	1.0	0.1	1.2	0.9	1.0	0.7
New residential construction	1.2	1.4	0.4	1.5	1.4	1.2	0.7
New non-residential construction	2.1	2.0	0.5	1.8	0.9	1.9	0.6
New machinery and equipment	2.1	—0.3	—	0.6	0.6	0.1	1.0
Exports of goods and services	—0.1	0.5	1.1	0.4	0.9	0.8	2.0
Imports of goods and services	0.4	—0.3	0.5	0.7	0.3	0.4	0.9
Gross national product	0.5	1.0	0.6	1.0	1.4	1.2	1.0

Source: National Accounts, Income and Expenditure.

TABLE 10. BALANCE OF PAYMENTS — CURRENT ACCOUNT

$ million.

	1961	1962	1963	1964	1965	1966[1]
Trade balance	173	177	503	701	118	453
Merchandise exports	5,889	6,380	7,082	8,238	8,745	10,122
Merchandise imports	— 5,716	— 6,203	— 6,579	— 7,537	— 8,627	— 9,669
Non-merchandise balance, net	— 1,155	— 1,051	— 1,045	— 1,125	— 1,201	— 1,348
Gold production for export	162	155	154	145	138	124
Travel	— 160	— 43	24	— 50	— 32	— 67
Interest and dividends	— 561	— 592	— 630	— 678	— 761	— 825
Freight and shipping	— 82	— 86	— 85	— 35	— 82	— 83
Inheritances and migrants' funds	— 71	— 51	— 35	— 32	—	48
Official contributions	— 56	— 36	— 65	— 69	— 92	— 545
Other current transactions	— 387	— 398	— 408	— 406	— 372	
Current account balance	— 982	— 874	— 542	— 424	— 1,083	— 895

1. First three quarters at seasonally adjusted annual rates.

Source: Quarterly Estimates of the Canadian Balance of International Payments.

with the Soviet Union were completed in the second half of 1964, and demand in certain other foreign markets weakened. In 1966 the trade surplus was larger. In the first three quarters of the year exports were nearly 16 per cent above the 1965 average, following an increase of only 6 per cent in 1965. Part of the acceleration may be ascribed to a recovery of wheat sales under new contracts with the Soviet Union and China, although the impact of these on total exports has shrunk with the development in recent years of other commodity export markets. Exports of manufactured goods have increased rapidly, the main factor being a sharp rise in shipments of cars, trucks, automotive engines and parts stimulated by the agreement signed with the United States in January 1965 for duty-free trade in automotive equipment between the two countries. Amongst the main export markets, United States predominance has increased to 60 per cent of total merchandise exports, influenced by the higher car shipments and the strong general increase in U.S. demand. Sales to the United Kingdom were badly hit by the British seamen's strike — in the first nine months of 1966 they were actually 1 per cent lower than a year earlier. Export prices rose by 3.5 per cent between the first halves of 1965 and 1966 and there was a further strong increase during the third quarter of 1966.

In the first nine months of 1966, merchandise imports were nearly 16 per cent above the same period of 1965. Following the rapid increase in the second half of 1965, the rise in imports was modest during the first two quarters of 1966, partly because imports from the United States and the United Kingdom were at various times affected by strikes. In

TABLE 11. MERCHANDISE EXPORTS[1]

Changes between years and 3 quarters periods, $ million.

	FARM, FISH PRODUCTS		FOREST PRODUCTS	METALS AND MINERALS	CHEMICALS AND FERTILIZERS	OTHER MANUFACTURED GOODS	RE-EXPORTS	TOTAL EXPORTS
	WHEAT, FLOUR	TOTAL						
Total all countries: 1963	190	200	123	106	20	171	12	633
1964	275	380	185	324	40	368	18	1,314
1965	—218	—108	91	193	28	224	33	463
Change first three quarters 1965 to first three quarters 1966	318	45	137	204	28	507	10	1,250
To United States: 1963	1	— 4	61	23	4	74	11	168
1964	— 7	2	98	147	8	251	15	520
1965	— 6	81	83	132	43	228	26	596
Change first three quarters 1965 to first three quarters 1966	1	12	126	139	25	531	11	843

1. Data are on a trade accounts basis, and differ from exports on a balance of payments basis because of some differences in timing and coverage.

Source: Dominion Bureau of Statistics and Bank of Canada.

the third quarter, imports were growing faster. A full commodity breakdown is still not available, but it is clear that, as in the case of exports, automobiles and parts played a major role — about 38 per cent of the rise in imports between the first eight months of 1965 and 1966 may have been accounted for by transportation and communication equipment.

The seasonally adjusted deficit on non-merchandise current account transactions averaged $ 337 million a quarter in the first three quarters of 1966, rather higher than the average of $ 300 million in 1965. The tendency towards growing deficits on travel, interest and dividends, and a sharp increase in official contributions — arising from greater Canadian foreign aid in goods and services — were the dominant factors underlying the higher deficit. The infllow of inheritances and migrant's funds increased.

The net capital inflow fell to an annual rate of $ 367 million in the first nine months of 1966 from the high level of $ 1,240 million reached in 1965 (Table 12). Sales of new issues of Canadian securities, which normally provide the bulk of the long-term inflow, were exceptionally high in the first half of 1966 owing to the arrangements made in the fourth quarter of 1965 to defer new issues in the United States market until 1966. This was partly offset by a larger outflow for retirement of Canadian securities, arising mainly from repurchases by the Canadian Government of US $ 109 million of its outstanding bonds from United States residents; there was a further delivery of US $ 31 million of repurchased bonds in the third quarter of 1966 together with a purchase of US $ 23 million of IBRD bonds. These repurchases have been made in fulfilment of an undertaking between Canada and the United States under which long-term Canadian borrowers continue to have access to the US capital market with exemption from the interest equalisation tax and the non-bank guidelines on long-term securities. Canada, in exchange, undertook to reduce the total of her reserve assets, including the net IMF creditor position, first to the level at which they stood in mid-1963 (US $ 2,700 million) and subsequently by a further $ 100 million.

Direct investment in Canada, which declined steadily between 1960 and 1964, increased again in 1965 and the first nine months of 1966. The inflow in 1966, however, included several special financial transactions relating to the manufacturing and mining industries which were unconnected with new capital formation in Canada. Also, in contrast to the normal pattern of Canadian direct investment abroad, there was a net inflow of $ 90 million in the third quarter of 1966, mainly due to the sale of its foreign subsidiary by a Canadian corporation in the petroleum industry. Within the total of direct investment in the first nine months of 1966 there was some shift in emphasis, with a greater

TABLE 12. BALANCE OF PAYMENTS — CAPITAL ACCOUNT

$ million.

		1963	1964	1965	1965 1st THREE QTRS.	1966 1st THREE QTRS.
A.	Current balance (seasonally adjusted)	— 542	— 424	— 1,083	— 722	— 671
	Current balance (not seasonally adjusted)	— 542	— 424	— 1,083	— 719	— 616
B.	Long-term capital	637	820	713	478	852
	Direct investment, net	145	175	280	195	445
	Canadian stocks, net	— 236	— 134	— 242	— 189	— 41
	Canadian bonds	685	831	867	640	743
	new issues	970	1,078	1,179	878	1,180
	retirements	— 324	— 324	— 374	— 295	— 352
	trade in outstanding bonds	39	77	62	57	— 85
	Foreign securities	22	— 52	— 84	— 69	— 236
	Other long-term capital	21	—	— 108	— 99	— 59
C.	Short-term capital	51	— 33	527	396	— 577
D.	Change in reserves, IMF position: (B + C — A)	146	363	157	155	— 341
	Official holdings of gold, foreign exchange	60	86	— 11	— 66	— 452
	Net position in IMF	86	277	168	221	111

Source: Quarterly Estimates of the Canadian Balance of International Payments.

proportion being devoted to petroleum and the natural gas industries. Manufacturing and mining, however, still accounted for the bulk of all new direct investment.

There was a large net outflow of short-term funds in 1966, mainly banking funds flowing to the United States and to the Euro-dollar market. This contrasted sharply with the experience in 1965 when there was an important inflow, reflecting notably a substantial drawing down by Canadian banks of their foreign assets in the United Kingdom and other overseas markets. Taking the two years together the net flow was small, as in the two preceding years.

The overall balance of payments deficit, unadjusted for seasonal factors, amounted to $ 341 million in the first nine months of 1966, and was financed by a reduction in gold and foreign exchange holdings of $ 452 million, partly offset by a $ 111 million improvement in the IMF position, of which $ 47.5 million represented a gold subscription. At the end of June the reserves, including the net IMF creditor position, amounted to US $ 2,595 million; they fell further to US $ 2,499 million by the end of December, a reduction of US $ 381 million since the beginning of the year. The reserve movement was therefore in conformity with the undertaking with the United States.

II. ECONOMIC POLICY

In the first part of 1965 government policies were still directed towards stimulating demand in order to maintain a rate of growth sufficient to provide employment for the fast-growing labour force and to reduce unemployment further; the 1965-66 federal budget[1] presented in the spring included a 10 per cent cut in the basic personal income tax payable. But as demand rose faster than expected and strains on resources began to appear, partly influenced by the very strong expansion in the United States, the emphasis of budgetary and monetary policies was changed to restrict the growth of demand. On the supply side further measures were taken to increase productivity and facilitate the mobility of resources.

Federal Budget Policy

In the late summer of 1965 certain federal construction projects were postponed to ease the strains on the building and construction industry. By the time of the March, 1966 budget it was clear that further measures to restrict the growth of demand were required. The budget announced reductions in plans for federal construction programmes. The cut in personal income taxes enacted a year earlier was reversed for average and above-average income earners — with, however, a further small reduction in the rate for low income groups. The budget proposed three measures designed to encourage the postponement of private investment:

a) the gradual elimination of the 11 per cent sales tax on machinery and equipment, beginning in April, 1967; this measure would reduce the cost of such investment, but act as a short-term incentive to postponement;

b) the temporary reduction of depreciation allowances for tax purposes on various classes of capital investment made during the period April, 1966 to October, 1967;

c) a 5 per cent tax on corporate profits plus depreciation above $ 30,000 a year, the proceeds of which would be refunded in 18-36 months' time, depending on the economic climate.

At the time of the budget the authorities estimated that the measures would reduce the expected rise in GNP in 1966 from over 9 per cent, in current prices, to something over 8.5 per cent, and that the federal

1. The budget year runs from April to March.

budget surplus in the fiscal year 1966-67 would rise to $ 455[1] million on a national accounts basis, compared with $ 592 million in 1965-66 (excluding refundable tax proceeds, which were expected to be $ 160 million, and the large funds to be accumulated under the Canadian and Quebec pension schemes). Benefiting from the continued rapid expansion of the economy, federal revenues were expected to rise by almost 11 per cent. On the expenditure side, the largest increase allowed for was in transfers to other levels of government. Outlays on goods and services were also expected to rise substantially to cover increases in wages and salaries, improved equipment for the armed forces and greater assistance to developing countries.

The federal government incurred additional expenditure commitments later in the year, including payments to old age pensioners, increased pay for the armed services and higher veterans' disability pensions and allowances. As the authorities considered it inappropriate that the federal government should add to inflationary pressures through its own actions, given the strong advance in aggregate demand, offsetting measures were taken. The winter house-building cash bonus which had successfully stimulated construction in the winter months was withdrawn; builders have now become well accustomed to the continuation of operations in the winter, and the direct lending programme of the CMHC was timed to ensure support for this practice. In addition, a scholarship programme for students was deferred and the introduction of the full "medicare" programme, due to take place in July 1967, was postponed for one year. In a supplementary budget introduced in December, the Government announced an increase in the general sales tax (production machinery and equipment, on which the sales tax is to be removed from April, 1967, and building materials are exempted from the increase) and the old age security tax on personal incomes, in order to raise the $ 280 million estimated to be the approximate annual cost of a guaranteed incomes supplement to old age pensioners.

Monetary Policy

Monetary policy was gradually tightened in the course of 1965 to restrict the growth of demand and to attract the capital needed to balance the external position. This, together with strong credit demand, notably resulting from the substantial increase in capital expenditures of private businesses and provincial and municipal enterprises, led to strong pressures on interest rates. Long-term government bond rates started to rise early in 1965. Beginning in April, monetary policy was conducted in such a manner that the continued strong expansion of the chartered

1. By the time the supplementary budget was introduced in December 1966, this estimate had been reduced to $ 140 million.

Table 13. FEDERAL REVENUE AND EXPENDITURE

National Accounts Basis[1]

$ million.

	1964-65 ACTUAL	1965-66 ACTUAL	1966-67 BUDGET FORE-CAST	1965[2] 1st QTR.	1965[2] 2nd QTR.	1965[2] 3rd QTR.	1965[2] 4th QTR.	1966[2] 1st QTR.	1966[2] 2nd QTR.	1966[2] 3rd QTR.
Revenue:										
Direct taxes: persons	2,630	2,715	3,045	2,720	2,760	2,660	2,720	2,864	2,720	3,060
corporations	1,477	1,623	1,770	1,544	1,600	1,636	1,712	1,576	1,676	1,632
Withholding taxes	147	168	178	160	172	164	176	168	196	192
Indirect taxes	2,920	3,247	3,564	3,040	3,172	3,332	3,444	3,524	3,548	3,576
Investment income	571	618	758	568	612	572	720	620	716	612
Social insurance and pension funds	580	602	662	584	600	608	616	624	632	628
Total revenue	8,325	8,973	9,977	8,616	8,916	8,972	9,388	9,376	9,488	9,700
Expenditure:										
Goods and services: defence	1,589	1,562	1,634	1,620	1,512	1,584	1,532	1,640	1,540	1,620
other	1,500	1,705	1,944	1,584	1,620	1,728	1,888	1,988	2,076	2,264
Transfers to persons (excluding public debt)	2,263	2,316	2,553	2,292	2,348	2,360	2,264	2,400	2,456	2,548
Interest on public debt	1,012	1,052	1,174	1,052	1,036	1,040	1,080	1,124	1,128	1,164
Subsidies	260	259	347	192	192	220	432	252	284	252
Capital assistance	82	84	69	80	84	84	88	32	84	56
Transfers to other levels of government	1,340	1,427	1,801	1,496	1,444	1,316	1,452	1,528	1,672	1,644
Total expenditure	8,046	8,405	9,522	8,316	8,236	8,332	8,736	8,964	9,240	9,548
Deficit (—) or surplus (+)	+ 279	+ 568	+ 455[4]	+ 300	+ 680	+ 640	+ 652	+ 412	+ 248	+ 152
Canadian pension plan[3]								372	504	576
Quebec pension plan[3]								120	192	268

1. Quarterly data at seasonally adjusted annual rates.
2. Seasonally adjusted data does not add to fiscal year total.
3. Funds accumulated not included in revenue above.
4. Not including collections from the refundable profits tax, amounting to $ 160 million.

Source: National Accounts, Income and Expenditure.

banks' loans was accompanied by a further reduction in the ratio of their "more liquid assets" to total assets. Credit conditions in general became less easy and the yield on Treasury bills rose sharply. In June, the collapse of a medium-sized sales finance company contributed to the tightening despite temporary accommodation provided by the authorities. By November, the average yield on long-term Government of Canada bonds was 25 basis points higher than in June and the yield on 3-month Treasury bills had risen by a similar amount. The differential between long-term bond yields in Canada and the United States widened until August, when US rates began to rise. During the following year the upward adjustments of long-term interest rates were broadly parallel in the two countries, although with some differences in timing. In the latter part of 1965, the authorities offered some resistance to the rising trend of rates, but following the 0.5 per cent increase in the Federal Reserve rediscount rate in December, Canadian Bank rate was also raised by 0.5 per cent to 4.75 per cent.

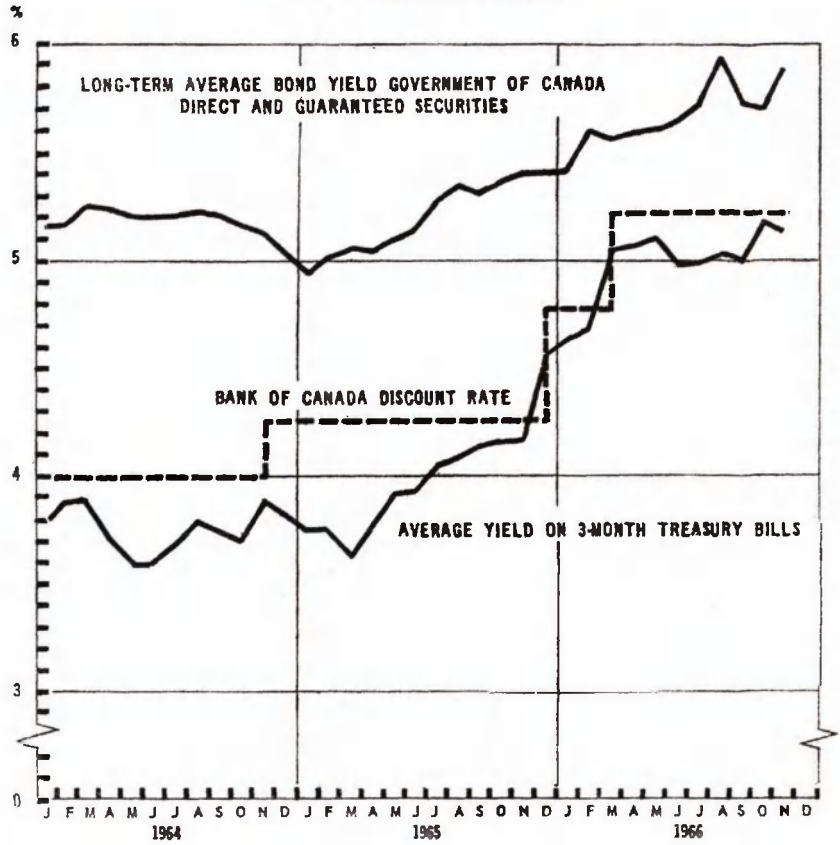
In mid-March 1966, Bank rate was raised by a further 0.5 per cent, on this occasion without any change occurring in the Federal Reserve rate, and the covered differential between treasury bills in Canada and the United States, which had been in favour of the US since the latter months of 1965, again moved in Canada's favour. Following the rise in Bank rate, the general level of Government of Canada interest rates continued its upward trend until late summer. By the close of the year, however both short- and long-term rates had eased from their August peaks.

The effects of the tighter credit situation were most evident in the mortgage market, where lending institutions approved housing mortgages totalling $ 1,133 million in the first ten months of 1966, $ 272 million less than in the same period of 1965. Consumer credit outstanding also rose much more slowly — increasing by only $ 222 million, seasonally adjusted, in the first half of 1966, after rising by $ 798 million during 1965. Seasonnally adjusted chartered bank loans showed a similar trend, the slower growth being common to all the main classes of borrowers. Even with the slower growth, however, the banks only managed to retain their ratio of " more liquid assets " to total assets around the 30 per cent level to which it had fallen in mid-1965; it was as high as 36 per cent at the beginning of 1964.

There was some change in the pattern of business financing in 1966. With the slower growth of corporate cash flow, and investment expenditure still rising rapidly, corporations evidently found it necessary to fall back quite heavily on previously generated internal liquidity. New issues of bonds in currencies other than Canadian dollars increased, the majority being made in the United States; but part of the increase was due to the postponement of deliveries from late 1965. Bond issues in Canadian dollars were lower than in the previous year.

Diagram 3. **INTEREST RATES**

LAST WEDNESDAY IN MONTH



Source : Bank of Canada Statistical Summary.

Other Policy Measures

Further steps have been taken over the last year to improve the mobility and quality of both capital and labour. The new arrangements introduced in mid-1965 to assist the establishment or expansion of industries in the development areas[1] are working well, and have led to a marked increase in applications for assistance. The authorities now estimate that since the area development programme was first introduced in

1. Cf. the OECD Economic Survey of Canada, December 1965.

TABLE 14. SELECTED ITEMS OF BUSINESS FINANCING

$ million.

	1964	1965	FIRST 3 QUARTERS	
			1965	1966
Change during period in:				
Chartered bank loans	575	698	658	359
Sales finance company loans[1]	202	327[2]	149[2]	242[2]
Industrial Development Bank loans	36	41	28	40
Net new issues of corporate bonds	761	1,200	937	775
In Canadian dollars	551	870	727	374
In other currencies	210	330	210	401
Net new issues of corporate stocks	335	443	346	349

1. To wholesalers and retailers.
2. Levels were affected by the write-down of the receivables of companies in receivership.

Source: Bank of Canada Statistical Summary.

1963, the total capital investment which has taken place as a result has amounted to around $ 1.2 billion, generating some 40,000 new jobs. The new programme for the advancement of industrial technology has been well received by industry and the rate of commitments and outlays has been in accordance with official forecasts.

Labour mobility has been further increased during the year as new programmes of grants and loans have become effective. These programmes, described in detail in last year's survey, were introduced to facilitate the movement of unemployed to areas in which employment is available, and have been particularly helpful in the case of those who have been unemployed for more than a comparatively short period. The mobility programmes, and other programmes designed to improve standards of skill of the labour force, will be administered by the new Department of Manpower — set up to deal with all aspects of the supply of labour, including immigration programmes, retraining of unemployed workers, technical training, mobility and the Canadian Manpower Service.

An important example of the Government's efforts to promote greater efficiency is the proposed legislation governing transportation, which aims to remove many of the constraints limiting the ability of the railways to act in accordance with normal commercial considerations. If approved, the legislation will give greater freedom to set rates and terminate uneconomic operations, and this should lead to both improved profitability and greater rationalisation of resources.

In 1965 the Government requested the Economic Council of Canada to undertake a broad examination into prices, costs, incomes and pro-

ductivity, and their relationship to sustained economic growth. As one part of this study the Council was asked to report on other countries' experiences in the field of incomes policy. In its third Annual Review, published in November 1966, the Council concluded that a formal incomes policy would not be an effective way of meeting the problem of maintaining reasonable price stability at high levels of employment in Canada, except possibly under rare emergency conditions, and then only on a temporary basis. The reasons for this view were founded essentially in the decentralized character of the Canadian economy and its high degree of responsiveness to the external economic environment. The Minister of Finance has, however, made it clear that an incomes policy in a broader sense — voluntary adherence to a central lead enjoying a wide consensus of agreement and respect — is a valid aim to be worked towards in Canada over a period of years, at all levels of government and in all sectors of the business world.

Federal-Provincial Finance

Over the years, the role of federal and provincial governments in economic and social affairs has grown more important. The depression, war and post-war reconstruction inevitably increased central government involvement. Provincial governments have found that greater urbanisation, technological change and the growing expectations of the public requires them to enlarge the scope of their activities in such spheres as health, welfare, education, transportation, urban development and resource and economic development. As part of its growing responsibilities, the federal government has felt it essential to help the poorer provinces, unable by themselves to meet the demands placed upon them, play their roles. Provinces have greatly increased their revenues by exercising their rights of taxation, thereby enabling them to finance expanded and growing activities and programmes. Inevitably, federal and provincial programmes have overlapped in a number of spheres, with a consequent need for harmonisation of activities.

At the senior level, the machinery for liaison between the federal government and the provinces consists of the Conference of Prime Ministers and Premiers, which in recent years has been convened at least annually. More recently, the federal and provincial ministers of finance have agreed to meet once a year during the pre-budget period to exchange information and views on the economic outlook. At the official level, the Continuing Committee on Fiscal and Economic Matters, which has been in existence for over ten years, provides a means of inter-governmental communication. The Committee's main purpose is to serve as a forum for the exchange of views and information on fiscal and economic matters and to deal with specific items referred to it by the Conferences of Prime Ministers and Premiers or of Ministers of

Finance. In addition to these groups, about 120 conferences or committees exist to facilitate inter-governmental consultation and co-ordination over a wide range of activities. Additional steps are being taken to meet new requirements as they arise. One such development was the establishment in 1964 of the Tax Structure Committee, a special ad hoc body set up by the Conference of Premiers and Prime Ministers to review various aspects of fiscal relations between the federal government and the provinces. This Committee had by October, 1966 completed an important part of the work assigned to it — including almost all of the background studies, all of the outlook studies and several of the policy studies.

The outlook studies of the Tax Structure Committee carry important implications for the period from 1967-68 to 1971-72. It was concluded that provincial-municipal expenditures will continue to rise more rapidly than those of the federal government — and more rapidly than their own revenues from present taxes at existing rates of taxation. Federal government revenues from existing taxes, however, are expected to grow at a rate at least as high as that for expenditures. This leaves a gap for governments as a whole which will have to be filled by changes in either revenue or expenditure. The question of which level of government will be required to make the changes was in effect the main subject for discussion at the final meetings of the federal and provincial governments in the autumn of 1966 to work out new inter-governmental fiscal arrangements.

In the early 1950's, provincial and municipal expenditures amounted to less than one-half of total federal expenditure, but they have risen strongly and are now as large as federal expenditure. Much of the rise in provincial-municipal expenditure has been financed from the growing share allocated to them from federal tax revenue. For fiscal year 1966-67 the provinces receive about 25 per cent of personal income tax (Quebec receives a further 23 per cent in return for assuming responsibility for equivalent federal expenditures) and, taken together, approximately 23 per cent of corporation income taxes paid. (These percentages take no account of supplementary federal levies on individual and corporate incomes in the form of an Old Age Security Tax.) In addition, the provinces collect about one-third of all commodity taxes, including about 30 per cent of general sales taxes, some 50 per cent of liquor taxes and virtually 100 per cent of gasoline taxes. The provincial-municipal governments, furthermore, collect almost all of the property taxes and natural resource levies paid in Canada.

At the quinquennial meetings in September 1966, the Minister of Finance stated the principles which the federal government thought should be followed in the attempt to develop a system of federal-provincial fiscal arrangements for the future :

TABLE 15. **GOVERNMENT REVENUE, 1966**[1]
NATIONAL ACCOUNTS BASIS

Average of first three quarters, seasonally adjusted annual rates.

	TOTAL GOVERNMENT	FEDERAL	PROVINCIAL AND MUNICIPAL	PROVINCIAL AND MUNICIPAL AS % OF TOTAL
Direct taxes — persons	4,339	2,881	1,457	33.6
— corporations	2,179	1,628	551	25.3
Withholding taxes	185	185	—	
Indirect taxes	8,176	3,549	4,627	56.6
Investment income	1,816	649	1,167	
Employer, employee contributions to social insurance, govt. pension schemes	1,043	628	415	
Total revenue before transfers	17,738	9,521	8,216	
Transfers from federal government		— 1,615	1,615	
Total revenue after transfers	17,738	7,906	9,831	

1. Canada and Quebec pension plan contributions of $ 857 millions are excluded.
Source: National Accounts, Income and Expenditure.

1. The fiscal arrangements should give both the federal and provincial governments access to fiscal resources sufficient to discharge their responsibilities under the constitution.
2. They should provide that each government should be accountable to its own electors for its taxing and spending decisions and should make these decisions with due regard to their effects on other governments.
3. They should, through a federal system of revenue equalisation grants, enable each province to provide an adequate level of public services without resort to rates of taxation substantially higher than those of other provinces.
4. They should give to the federal government sufficient fiscal power to discharge its economic and monetary responsibilities, as well as to pay its bills. In particular they should retain for the federal government a sufficient proportion of the income tax in all provinces — both personal and corporate — to enable it to use variations in the weight and form of that tax for economic policy purposes and to achieve a reasonable degree of equity in the incidence of taxation across Canada.
5. They should lead to uniform inter-governmental arrangements and the uniform application of federal laws in all provinces.
6. They should seek to provide machinery for harmonising the policies and the priorities of the federal and provincial governments.

On the basis of the principles outlined above, the federal government, after discussions with the provinces, proposed a number of changes in revenue equalisation arrangements, shared-cost programmes and tax sharing.

The revenue equalisation arrangements, designed to enable all provinces to provide essential services without unduly high taxation, were formerly based on calculations taking account only of certain of the provinces' sources of revenue. The Government has proposed that all provincial revenue sources should be taken into account to make the arrangements more objective and more responsible to the growth in the overall revenues of the provinces. Under the proposed formula the per capita revenue yield of each province is brought up to the national average per capita revenue yield. This is achieved by applying average provincial tax rates to a comprehensive index of fiscal capacity in each province, with separate components for each major tax field, and determining whether the resulting revenue yield is below the national average per capita. The new formula is estimated to cost the federal government about $ 545 million in the first year, an increase of about $ 195 million over the last year of the previous scheme. Legislation to implement the new arrangements will be introduced in Parliament early in 1967.

In the case of shared-cost programmes, the federal government has proposed to withdraw from their continuous and cumulative use in fields of jurisdiction which are primarily provincial. In practice this would mean a federal withdrawal over a period of years from established health and welfare programmes accompanied by appropriate tax transfers to the provinces. The result would be to place other provinces on substantially the same basis as Quebec, which is already receiving a tax transfer in respect of these shared-cost programmes, and to restore substantial uniformity in the rate of federal personal income tax across Canada. The federal government indicated that it reserved the right to institute new programmes in the health and welfare fields. Likewise, it indicated its intention of continuing shared-cost programmes of an economic nature and of initiating new programmes relating to the federal responsibilities for employment, economic stability, and economic growth. Shared-cost programmes for economic purposes would be offered on the same basis to all provinces. In the field of post-secondary education, the federal government has proposed to discontinue existing unconditional per capita payments to the universities and existing shared-cost conditional payments to the provinces for technical and vocational training, subject to a phase-out of capital grants for technical and vocational education, and to replace these forms of assistance by a substantial fiscal transfer. The fiscal transfer, in the form of a tax transfer — four percentage points of personal income tax and one per cent of corporate profits — supplemented by equalisation and adjustment grants, will in

each province equal $ 15 per capita or 50 per cent of post-secondary education operating costs. The provincial reaction to the proposed federal withdrawal from health and welfare programmes was one of apprehension concerning the financial implications and no immediate steps to implement this aspect of the federal proposals appear likely.

With regard to tax sharing the federal government felt that the main problem in increasing the provinces' tax receipts was not their lack of access to revenue sources, but rather their difficulties in raising tax levels that were already high. The federal government felt, however, that both Parliament and provincial legislatures must accept their responsibilities and answer to their respective electors for the amount of money raised and the uses to which it was put. This view, it was felt, was reinforced by the need for the federal Government to retain sufficient control over the income taxe fields in order to carry out its responsibilities for ensuring high and stable rates of economic growth. The Government therefore had come to the conclusion that it must think in terms of doing what it could to remove impediments to tax increases by the provinces. One such impediment to be removed was the use of a "standard rate" of provincial personal income tax in the Income Tax Act; this could be considered to imply that a certain rate of income tax was appropriate for the provinces. In addition, the provinces will derive larger shares of the personal and corporation income tax fields as a result of the federal proposals for education referred to above.

In support of the new financial arrangements, the federal authorities also proposed improvements in inter-governmental liaison on fiscal and economic matters. To assist the provinces in harmonising their own fiscal policies with federal policy, a revenue stabilisation scheme was proposed which would enable the provinces to maintain their revenues in the event of a regional or general recession without resorting to substantial tax increases which, at such times, could be economically damaging. Importance was also attached to closer co-operation between the two levels of government in economic forecasting and a more systematic approach to discussions on economic policy goals. The federal authorities indicated, in addition, that the Institute of Intergovernmental Relations at Queen's University had been asked to undertake a study of the means of ensuring improved harmonisation of federal and provincial policies and programmes.

The system of taxation in Canada is at present under study by a Royal Commission. As its findings are likely to have an important bearing on federal-provincial fiscal relations, it was decided at the quinquennial meetings that the Tax Collection Agreements, under which the federal government collects income taxes for nine of the ten provinces, would be extended for only two years, pending publication and analysis of the Commission's report. Also, the life of the Tax Structure

Committee would be extended in order to permit a joint federal-provincial examination of the report of the Royal Commission and the implications for federal-provincial fiscal relations of resulting changes in the Canadian tax structure.

III. PROSPECTS AND POLICY CONCLUSIONS

An important aim of economic policy in 1967 must be to arrest the rise in costs and prices. Unit labour costs have risen much faster in 1966 than in many other countries -- particularly the United States, where they have remained relatively stable until recent months. A continuation of this trend would further erode the improvement in Canada's cost position which resulted from the devaluation of 1962, thus rendering more difficult the efforts made to reduce the current external deficit.

At the time of writting, the policy implications of this aim are difficult to assess. There is, firstly, uncertainty about the outlook in the United States, which will be strongly influenced by the development of the Vietnam situation. The US Administration has stated that it is aiming at a 4 per cent increase in real GNP in 1967, a lower rate of growth than in the last two years, but roughly in line with the growth of capacity. While it would seem reasonable to expect a slowdown of the rise in US imports in 1967, given a slower growth of the economy, the extent of the slowdown is uncertain.

There are also uncertainties in the outlook for domestic demand in Canada, even assuming a relatively strong picture in the United States and a further good increase in Canada's exports. There are already indications that the expansion has slowed down, but the extent of this is not clear, partly because of the irregular movement of most demand indicators—adjustment for seasonal influences remains difficult. The main uncertainty concerns the outlook for business investment. A slowdown from the very high rate of increase experienced in recent years would seem likely, given the generally more hesitant business outlook, the completion of a number of projects directly or indirectly related to Expo '67, the tighter monetary situation and the fiscal measures taken to encourage the postponement of investment projects. Some observers even expect a levelling out or decline in business fixed investment in real terms. A better basis for forecasting will become available in February/March when the official survey of investment intentions is published.

Residential construction seems likely to remain weak in 1967, at least in the first half of the year, following the recent trend in housing

starts. On the other hand, starts react relatively quickly to changes in monetary conditions, so that residential construction activity might well recover in the course of the year, over and above the level of work resulting from the recent move in respect of the NHA mortgage interest rate, if a significant easing of monetary restraints developed. Government expenditure on goods and services might rise somewhat less than earlier, following the 1966 budget restrictions. Private consumption may also rise less rapidly than in 1966, given the probable trend in non-consumption expenditure; it could, however, rise faster than GNP because of the strong upward trend in wages and salaries. In the aggregate, demand seems likely to rise at a slower rate in 1967 than in 1966, although the extent of the slowdown is still uncertain.

Prospects for the balance of payments will to a large extent depend upon developments in the United States, which takes 60 per cent of Canada's exports, as well as on trends in the domestic economy. Assuming a slowdown of the expansion in the United States and at home, both exports and imports should rise more slowly than in 1966, perhaps with some tendency for the trade balance to improve, particularly if US imports continued to be stimulated by shortages in the domestic economy. The upward trend in the non-merchandise deficit may be temporarily reversed, helped by a probable increase in tourist receipts related to Expo '67. There are, thus, grounds for expecting that the current deficit will at least be no larger in 1967, and that it might fall a little. As earlier, it is likely to be financed by an inflow of capital from the United States.

A more moderate growth of demand would clearly seem appropriate, given the cost/price situation and Canada's wish progressively to reduce the current external deficit. The physical scope for expansion is smaller than earlier because the unemployment rate has been much reduced and industrial capacity utilisation rates are high. Even the maintenance of the existing degree of demand pressure would therefore necessitate a slower increase in demand than previously. Given the strains on resources in certain sectors which developed in 1966, some easing of the pressure of demand might well be desirable from the point of view of restoring better cost/price stability.

There is a limit, however, to which the growth of demand can be allowed to slacken without undesirable repercussions on the labour market. The labour force is growing very rapidly. The 4 per cent increase recorded in 1966 was probably exceptional, but the trend rate of increase would still seem to be as high as some 3 per cent a year. This means that the growth potential, including normal productivity gains, may be rising at an annual rate of close to 5 per cent. Changes in farm production are, however, large and have an important effect on the year-to-year growth rate of the total economy. In 1966 farm pro-

duction was exceptionally high. The realisation of an average farm crop would mean that the potential rate of growth of the economy for 1967 would be a little lower than the figure cited. The actual rate of expansion should not be much lower than the 1967 potential rate if a satisfactory labour market situation is to be maintained.

Demand-management policy, although essential, is not the only instrument available for improving the cost/price performance. As already noted, the authorities place great emphasis on labour market policies and other measures to facilitate adjustments on the supply side (see paragraphs 38-40). But in addition, it would seem inevitable, as in other industrialised countries, that with the achievement and maintenance of full employment conditions the authorities will become progressively more concerned with the process of income and price determination. It is for the Canadian authorities themselves to work out the manner in which they will give expression to this concern.

BLANK PAGE

STATISTICAL ANNEX

BLANK PAGE

TABLE I. GROSS NATIONAL PRODUCT AND EXPENDITURE

ANNUAL FIGURES AND ANNUAL RATES, SEASONALLY ADJUSTED

$ million.

	PERSONAL CONSUMPTION EXPENDITURE	BUSINESS FIXED CAPITAL FORMATION				VALUE OF PHYSICAL CHANGE IN INVENTORIES	GOVERNMENT EXPENDITURE ON GOODS AND SERVICES	EXPORTS OF GOODS AND SERVICES	IMPORTS OF GOODS AND SERVICES	RESIDUAL ERROR	GROSS NATIONAL PRODUCT AT MARKET PRICES
		TOTAL	RESIDENTIAL CONSTRUCTION	NON-RESIDENTIAL CONSTRUCTION	MACHINERY AND EQUIPMENT						
					CURRENT PRICES						
1960	23,540	6,692	1,443	2,577	2,672	410	6,769	7,008	8,172	40	36,287
1961	24,466	6,635	1,458	2,683	2,494	30	7,236	7,631	8,542	15	37,471
1962	25,926	6,960	1,577	2,638	2,745	532	7,717	8,259	9,082	263	40,575
1963	27,487	7,591	1,707	2,835	3,049	535	8,075	9,111	9,618	243	43,424
1964	29,666	9,103	2,021	3,358	3,724	386	8,654	10,507	10,919	6	47,403
1965	32,063	10,424	2,124	3,955	4,345	948	9,596	11,156	12,297	106	51,996
1965: 1st quarter	30,748	9,760	2,044	3,796	3,920	1,288	9,248	10,624	11,588	116	50,196
2nd quarter	31,644	10,004	2,192	3,720	4,092	1,168	9,540	10,972	11,992	— 12	51,324
3rd quarter	32,520	10,672	2,132	4,036	4,504	728	9,660	11,316	12,392	200	52,704
4th quarter	33,340	11,260	2,128	4,268	4,864	608	9,936	11,712	13,216	120	53,760
1966: 1st quarter	33,924	11,640	2,200	4,512	4,928	756	10,448	12,680	13,412	76	56,112
2nd quarter	34,132	12,084	2,292	4,812	4,980	1,540	10,664	12,508	13,512	— 80	57,336
3rd quarter	35,272	11,668	2,108	4,584	4,976	612	11,404	13,088	14,180	— 124	57,740
					CONSTANT (1957) PRICES						
1960	22,402	6,231	1,323	2,404	2,504	397	6,268	6,884	8,020	38	34,200
1961	23,105	6,125	1,328	2,494	2,303	29	6,562	7,379	8,132	13	35,081
1962	24,173	6,254	1,395	2,399	2,460	508	6,811	7,747	8,306	242	37,429
1963	25,260	6,618	1,461	2,494	2,663	510	6,848	8,445	8,550	221	39,352
1964	26,486	7,606	1,641	2,830	3,135	354	7,122	9,550	9,589	6	41,895
1965	28,462	8,347	1,644	3,139	3,564	938	7,567	10,023	10,750	93	44,680
1965: 1st quarter	27,564	7,900	1,608	3,080	3,212	1,252	7,396	9,644	10,156	104	43,704
2nd quarter	28,144	8,024	1,700	2,960	3,364	1,156	7,580	9,908	10,540	— 12	44,260
3rd quarter	28,808	8,548	1,648	3,196	3,704	720	7,620	10,112	10,828	176	45,156
4th quarter	29,332	8,916	1,620	3,320	3,976	624	7,672	10,428	11,476	104	45,600
1966: 1st quarter	29,508	9,140	1,652	3,480	4,008	852	7,836	11,192	11,604	64	46,988
2nd quarter	29,344	9,388	1,700	3,644	3,980	1,448	7,960	10,952	11,640	— 32	47,388
3rd quarter	30,236	9,004	1,552	3,448	4,004	564	8,404	11,236	12,100	— 100	47,244

Source: National Accounts, Income and Expenditure.

TABLE II. INDUSTRIAL PRODUCTION,

	1961	1962
1. *Indices of Industrial Production 1960 = 100:*		
All industries	103.6	112.2
Mining	102.7	110.6
Manufacturing:		
durables	102.2	114.8
non-durables	104.5	110.5
2. *New residential construction (thousands, annual rates):*		
Starts	126	130
Completions	116	127
3. *Employment and Unemployment:*		
Civilian labour force (thousands, monthly averages)	6,521	6,615
Non-agricultural employment (thousands, monthly averages)	5,374	5,565
Employment indices (1961 = 100):		
Mining	100.0	99.4
Manufacturing	100.0	103.8
durables	100.0	105.9
non-durables	100.0	102.1
Public utility operation	100.0	99.6
Unemployment (thousands)	466	390
Unemployment (percentage of civilian labour force)	7.1	5.9
Average weekly hours worked in manufacturing	40.6	40.7
4. *Retail sales ($ million, annual rates)*	16,777	17,886
5. *Orders and inventories in manufacturing ($ million):*		
New orders (monthly averages)	2,053	2,261
Unfilled orders (monthly averages)	2,031	2,111
Total inventories (monthly averages)	4,581	4,799

Source: Canadian Statistical Review and Bank of Canada Statistical Summary.

EMPLOYMENT AND OTHER BUSINESS INDICATORS

Seasonally adjusted.

1963	1964	1965	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.	1966 1st QTR.	1966 2nd QTR.	1966 3rd QTR.
119.7	130.9	141.8	137.7	139.2	143.4	147.2	150.9	152.3	152.1
115.5	125.7	132.7	130.4	129.1	135.3	136.1	139.1	143.1	139.0
124.1	136.8	152.5	146.6	150.3	154.4	159.5	163.0	162.6	163.2
117.3	127.2	134.9	131.7	132.6	136.2	139.3	143.0	144.6	144.5
149	166	167	163	176	171	154	167	135	129
128	151	153	156	162	148	149	151	175	168
6,748	6,933	7,141	7,075	7,138	7,146	7,196	7,344	7,388	7,465
5,726	5,979	6,268	6,176	6,227	6,282	6,383	6,534	6,587	6,631
97.9	98.8	105.1	102.7	104.5	106.1	106.9	108.1	108.1	104.5
106.1	111.1	117.2	114.7	115.9	117.7	120.4	122.3	123.2	123.6
109.5	116.7	126.0	122.4	124.1	126.3	131.1	133.4	134.3	135.3
103.4	106.6	110.1	108.6	109.4	110.7	111.8	113.5	114.1	114.2
100.1	101.5	103.9	103.5	103.3	104.0	104.7	105.7	106.6	106.6
374	324	280	286	301	279	245	256	258	301
5.5	4.7	3.9	4.0	4.2	3.9	3.4	3.5	3.5	4.0
40.8	41.0	41.0	41.0	40.9	40.9	41.1	41.1	40.6	40.8
18,910	20,068	21,611	20,594	21,337	21,796	22,346	22,962	22,267	23,108
2,430	2,664	2,885	2,782	2,830	2,885	3,041	3,087	3,089	3,031
2,333	2,692	3,010	2,807	2,946	3,040	3,245	3,291	3,450	3,548
4,932	5,153	5,421	5,227	5,347	5,465	5,645	5,819	5,971	6,131

TABLE III. PRICES,

	1961	1962
1. *Prices (1960 = 100):*		
Consumer prices, all items	100.9	102.1
of which: food	101.5	103.3
Wholesale prices, all items	101.0	103.9
of which: raw materials and semi-manufactures	101.4	106.8
manufactured products	100.9	102.8
farm products	101.9	106.3
2. *Wages and Profits:*		
Hourly earnings in manufacturing (1960 = 100)	103	106
Corporation profits before tax ($ million, annual rates, seasonally adjusted)	3,427	3,819
3. *Banking ($ million, end of period):*		
Chartered Banks:		
Canadian dollar deposits	14,186	14,699
of which: personal savings deposits	7,618	7,932
Liquid assets[1]	2,345	2,362
Average liquid asset ratio (%)[1]	18.31	17.10
Holdings of Govt. of Canada direct and guaranteed bonds	2,639	2,241
Loans	6,878	7,702
Currency outside banks	1,892	1,981
4. *Interest rates (% end of period):*		
3-month Treasury Bill yield	2.99	3.91
Govt. of Canada 3 3/4 % 1996-98 bond yield	4.95	5.07
5. *Miscellaneous:*		
National Housing Act Mortgage Loans ($ million)	724	584
Industrial share prices (1960 = 100)	128	123
Security issues ($ million)	2,770	2,711
of which: Govt., provincial and municipal	2,151	1,740
Corporate Bonds	331	422
Corporate Stocks	245	337

1. Annual figures are daily averages for year, quarterly figures are daily averages of last month in each quarter.

Source: Canadian Statistical Review and Bank of Canada Statistical Summary.

1963	1964	1965	1965 1st QTR.	1965 2nd QTR.	1965 3rd QTR.	1965 4th QTR.	1966 1st QTR.	1966 2nd QTR.	1966 3rd QTR.
103.9	105.8	108.4	107.1	108.0	108.8	109.5	110.9	112.1	113.1
106.6	108.3	111.2	108.8	110.6	112.7	112.8	116.4	117.8	120.4
105.9	106.3	108.4	106.9	108.2	108.9	109.9	111.9	112.1	112.7
108.3	107.7	110.3	108.9	109.9	110.5	112.1	115.8	115.6	115.3
105.0	105.9	107.9	106.2	107.7	108.5	109.2	110.2	110.7	111.8
104.3	102.7	107.2	104.6	109.7	107.6	106.8	110.9	111.0	107.9
110	113	119	117	118	119	121	123	125	128
4,188	4,819	5,199	5,040	5,112	5,344	5,300	5,368	5,320	4,916
16,099	16,697	18,594	17,008	17,694	18,080	18,594	18,429	18,965	19,210
8,443	8,935	9,725	9,318	9,410	9,739	9,725	10,047	10,135	10,388
2,586	2,682	2,903	2,776	2,807	3,034	3,028	3,119	3,137	3,273
17.96	17.20	16.89	16.97	16.40	16.95	16.79	17.32	17.01	17.36
2,660	2,462	2,377	2,529	2,476	2,345	2,377	2,381	2,320	2,338
8,332	9,410	11,278	9,787	10,455	10,853	11,278	11,327	11,623	11,757
2,055	2,183	2,351	2,115	2,198	2,262	2,351	2,279	2,351	2,397
3.78	3.82	4.54	3.62	3.93	4.13	4.54	5.06	5.00	5.01
5.02	5.00	5.24	4.98	5.01	5.12	5.24	5.42	5.46	5.56
687	729	782	92	180	219	291	114	151	269
132	161	179	180	183	173	179	182	177	164
2,749	3,215	2,292	350	719	200	1,024	1,029	758	497
2,062	1,805	879	— 128	157	— 6	855	211	377	350
583	761	1,204	194	448	295	268	445	207	93
— 49	332	442	91	166	88	97	116	189	46

TABLE IV. GOVERNMENT

	FEDERAL	
	1961	1962
Tax revenue	5,749	5,893
Contribution to social insurance and Government pension funds	510	518
Investment income	409	448
Transfers from Federal Government	—	—
Total revenue	6,668	6,859
Expenditures on goods and services	2,892	3,025
Transfer payments to persons and subsidies	2,233	2,399
Transfers to other levels of government	1,128	1,134
Interest on public debt	786	866
Total expenditure	7,129	7,424
Deficit (—) or surplus	— 461	— 565

1. First three quarters at seasonally adjusted annual rates.

Source: National Accounts, Income and Expenditure.

TABLE V. FOREIGN

	1961	1962
Imports (Canadian $ million):		
Total (seasonally adjusted annual rates)	5,781	6,294
of which: from the United States	3,870	4,307
Exports (Canadian $ million):		
Total[1] (seasonally adjusted annual rates)	5,903	6,357
of which: to the United States	3,218	3,749
Farm and fish products[2]	1,301	1,264
Forest products[2]	1,623	1,701
Metals and minerals[2]	1,861	2,063
Other[2]	1,118	1,329
Visible trade balance (on payments basis, seasonally adjusted annual rates)	173	177
Volume of imports (1960 = 100)	102	106
Volume of exports (1960 = 100)	109	113
Average value of imports (1960 = 100)	103	108
Average value of exports (1960 = 100)	101	104
Balance of payments (Canadian $ million, annual rates):		
Current balance, seasonally adjusted	— 982	— 874
Current balance with US (seasonally unadjusted)	— 1,386	— 1,122
Direct investment in Canada	520	495
Portfolio investment	304	291
Official holdings of gold and US dollars (US $ million, end of period)	2,056	2,539
Exchange rate Canadian cents per US $ (average noon rate)	101.32	106.89

1. Including re-exports.
2. Seasonally unadjusted annual rates.

REVENUE AND EXPENDITURE

$ million.

GOVERNMENT				PROVINCIAL AND MUNICIPAL GOVERNMENT					
1963	1964	1965	1966[1]	1961	1962	1963	1964	1965	1966[1]
6,133	7,043	7,753	8,243	3,437	4,256	4,648	5,216	5,973	6,635
534	574	602	628	277	294	318	338	357	415
510	570	618	649	717	803	885	956	1,070	1,167
—	—	—	—	1,128	1,134	1,169	1,252	1,427	1,515
7,177	8,187	8,973	9,520	5,559	6,487	7,020	7,762	8,827	9,832
2,934	3,046	3,267	3,709	4,254	4,692	5,141	5,608	6,329	7,129
2,469	2,598	2,659	2,788	1,465	1,645	1,751	1,940	2,237	2,527
1,169	1,252	1,427	1,615	—	—	—	—	—	—
935	995	1,052	1,139	384	439	488	531	583	615
7,507	7,891	8,405	9,251	6,103	6,776	7,380	8,079	9,149	10,271
— 330	296	568	269	— 544	— 289	— 360	— 317	— 322	— 439

TRADE AND PAYMENTS

1963	1964	1965	1965				1966		
			1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.
6,578	7,488	8,633	7,949	8,330	8,698	9,469	9,533	9,637	9,679
4,458	5,164	6,045	5,535	5,808	6,086	6,728	6,612	7,102	6,922
6,990	8,304	8,767	8,381	8,447	8,779	9,384	10,087	9,925	10,342
3,917	4,437	5,033	4,757	4,953	4,992	5,375	5,932	6,168	5,959
1,464	1,844	1,736	1,332	1,472	1,640	2,500	1,604	1,888	
1,824	2,009	2,100	1,844	2,136	2,208	2,212	2,032	2,372	
2,169	2,493	2,686	2,188	2,764	2,932	2,864	2,484	3,032	
1,533	1,958	2,245	2,036	2,304	2,076	2,556	2,780	2,956	
503	701	118	180	244	160	— 112	528	308	524
107	121	139	118	145	136	157	141	164	149
124	145	151	121	149	152	173	150	170	177
112	114	113	114	112	114	114	115	115	115
105	107	108	107	108	108	109	110	112	113
— 542	— 424	— 1,083	— 900	— 960	— 1,028	— 1,444	— 728	— 932	— 1,024
— 1,162	— 1,635	— 1,912	— 2,356	— 2,120	— 680	— 2,492	— 2,396	— 2,360	— 584
280	280	405	280	504	384	452	440	700	520
471	699[3]	573[3]	360	272	896	764[3]	1,508	200	156
2,595	2,674	2,665	2,554	2,480	2,614	2,665	2,510	2,342	2,244
107.85	107.86	107.80	107.69	108.03	107.94	107.53	107.57	107.67	107.54

3. Including Columbia River Treaty ($ 54 million in 1964 and $ 32 million in 1965).

Source: Bank of Canada Statistical Summary and OECD Main Economic Indicators.

TABLE VI. BALANCE OF PAYMENTS 1960-1966

OECD BASIS

US $ million.

	1960	1961	1962	1963	1964	1965	1966 FIRST THREE QUARTERS SEAS. ADJ. ANNUAL RATES
Current Account:							
Exports fob	5,980	6,241	6,378	6,983	8,093	8,557	9,870
Imports fob	5,874	5,804	5,960	6,228	7,115	8,132	9,113
Trade balance	106	437	418	755	978	425	757
Services, net	— 1,167	— 1,208	— 1,093	— 1,101	— 1,200[1]	— 1,258[1]	
Balance on goods and services	— 1,061	— 771	— 675	— 346	— 222	— 833	— 1,585
Private transfers, net	— 158	— 143	— 109	— 95	— 88	— 66	
Official transfers, net	— 63	— 55	— 34	— 60	— 64	— 85	
Current account balance	— 1,282	— 969	— 818	— 501	— 374	— 984	— 828
Capital Account:							
Current account (not seasonally adjusted)							— 760
Long-term capital	875	898	541	589	776[1]	676[1]	1,051
Direct investment	619	439	361	134	162	259	549
Basic balance	— 407	— 71	— 277	88	402	— 308	291
Short-term non-monetary capital and unrecorded	358	190	185	154	219	82	— 172
Balance on non-monetary transactions	— 49	119	— 92	242	621	— 226	119
Private monetary institutions short-term capital	7	184	133	— 114	— 250	399	— 501
Assets	— 312	— 609	69	— 465	— 683	596	259
Liabilities	319	793	64	351	433	— 197	— 760
Balance on official settlements	— 42	303	41	128	371	173	— 383
Net IMF position	—	— 60	350	— 80	— 255	— 155	— 139
Special transactions	—	—	84	—	— 35[2]	— 35[2]	—
Miscellaneous official accounts	1	— 2	6	5	— 2	9	— 43
Change in reserves (+ = increase)	— 41	241	481	53	79	— 8	— 565
Gold	— 75	61	— 238	109	208	125	— 189
Foreign exchange	34	180	719	— 56	— 129	— 133	— 375

1. Data are adjusted to include debt obligations payable by the United Kingdom, but waived.
2. See footnote 1.

Source: The Canadian Balance of International Payments, Canadian submission to the OECD and Secretariat adjustments.

NOTE: Detail may not add due to rounding.

OECD SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'OCDE

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty, Ltd.,
53 D Bourke Street, MELBOURNE, C.1.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN 1.
Sub-Agent : GRAZ : Buchhandlung Jos. A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
Standaard Wetenschappelijke Uitgeverij,
Belgiëlei 147, ANVERS.
Librairie des Sciences
76-78, Coudenberg, BRUXELLES 1.

CANADA
Queen's Printer - L'Imprimeur de la Reine,
OTTAWA.

DENMARK - DANEMARK
Munksgaard Boghandel, Ltd., Nörregade 6,
KÖBENHAVN K.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2,
HELSINKI.

FORMOSA - FORMOSE
Books and Scientific Supplies Services, Ltd.
P.O.B. 83, TAPEI.
TAIWAN.

FRANCE
Bureau des Publications de l'OCDE,
2, rue André-Pascal, 75 PARIS-16e.
Principaux sous-dépositaires :
PARIS : Presses Universitaires de France,
49, bd Saint-Michel, 5e
Librairie de Médicis, 3, rue de Médicis, 6e
Sciences Politiques (Lib.), 30, rue Saint-Guillaume, 7e
La Documentation Française, 16, rue Lord Byron, 8e
13 AIX-EN-PROVENCE : Librairie de l'Université.
33 BORDEAUX : Mollat.
38 GRENOBLE : Arthaud.
59 LILLE : Le Furet du Nord.
67 STRASBOURG : Berger-Levrault.

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag G.m.b.H.
Postfach 9380, 53 BONN.
Sub-Agents : BERLIN 62 : Elwert & Meurer.
MÜNCHEN : Hueber, HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE - GRÈCE
Librairie Kauffmann, 28, rue du Stade, ATHÈNES-132.
Librairie Internationale Jean Mihalopoulos
33, rue Sainte-Sophie, THESSALONIKI

ICELAND - ISLANDE
Snæbjörn Jónsson & Co., h.f., Hafnarstræti 9,
P.O. Box 1131, REYKJAVIK.

INDIA - INDE
International Book House Ltd.,
9 Ash Lane, Mahatma Gandhi Road, BOMBAY 1.
Oxford Book and Stationery Co. :
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell Street,
DUBLIN.

ISRAEL
Emanuel Brown,
35 Allenby Road, and 48 Nahlath Benjamin St.,
TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni
Via Lamarmora 45, FIRENZE.
Via Paolo Mercuri 19/B, ROMA.
Sous - Dépositaires : GENOVA : Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADOVA : Libreria Zannoni. PALERMO : Libreria Dante. ROMA : Libreria Rizzoli, Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.,
6 Tori-Nichome Nihonbashi, TOKYO.

KENYA
New Era Publications
Ghale House, Government Road,
P.B. 6854.
NAIROBI.

LEBANON - LIBAN
Redico
Immeuble Edison, Rue Bliss, B.P. 5641,
BEYROUTH.

LUXEMBOURG
Librairie Paul Bruck
22, Grand' Rue,
LUXEMBOURG.

MALTA - MALTE
Labour Book Shop, Workers' Memorial Building,
Old Bakery Street, VALLETTA.

MOROCCO - MAROC
Éditions La Porte, *Aux Belles Images*.
281, avenue Mohammed V, RABAT.

THE NETHERLANDS - PAYS-BAS
W.P. Van Stockum & Zoon,
Buitenhof 36, DEN HAAG.
Sub-Agents : AMSTERDAM : Scheltema & Holkema N.V., Rokin 44. ROTTERDAM : De Wester Boekhandel, Nieuwe Binnenweg 331.

NEW ZEALAND - NOUVELLE ZÉLANDE
Government Printing Office,
20 Molesworth Street (Private Bag), WELLINGTON
and Government Bookshops at
AUCKLAND (P.O.B. 5344)
CHRISTCHURCH (P.O.B. 1721)
DUNEDIN (P.O.B. 1104).

NORWAY - NORVÈGE
A/S Bokhjornet, Lille Grensen 7, OSLO 1.

PAKISTAN
Mirza Book Agency, 65, The Mall, LAHORE 3.

PORTUGAL
Livraria Portugal, Rua do Carmo 70, LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd.,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID 1.
Libreria Bastinos de José Bosch, Pelayo 52,
BARCELONA 1.

SWEDEN - SUÈDE
Fritzes, Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 6, rue Grenus, 1211 GENÈVE, 11 et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi, Beyoglu,
ISTANBUL et 12 Ziya Gökalp Caddesi, ANKARA.

UNITED KINGDOM - ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569, LONDON, S.E. 1.
Branches at : EDINBURGH, BIRMINGHAM, BRISTOL, MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
OECD Publications Center, Suite 1305,
1750 Pennsylvania Ave, N. W.
WASHINGTON, D.C. 20006. Tel : (202) 298-8755

VENEZUELA
Libreria del Este, Avda F. Miranda, 52,
Edificio Galipan, CARACAS.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Terazije 27, P.O.B. 36,
BEOGRAD.

Les commandes provenant de pays où l'OCDE n'a pas encore désigné de dépositaire peuvent être adressées à :
OCDE, Bureau des Publications, 2, rue André-Pascal, 75 Paris (16e).
Orders and inquiries from countries where sales agents have not yet been appointed may be sent to
OECD, Publications Office, 2, rue André-Pascal, 75 Paris (16e).

OECD PUBLICATIONS
2, rue André-Pascal, Paris XVIe
No. 21,839. February 1967.

●

PRINTED IN FRANCE

ECONOMIC SURVEYS

Each year the OECD publishes a series of economic surveys by Member countries.

The series for 1966-1967 will include surveys on the following countries (those marked * have already been issued).

AUSTRIA
BELGIUM AND LUXEMBOURG
CANADA*
DENMARK
FRANCE*
GERMANY
GREECE
ICELAND*
IRELAND
ITALY
JAPAN
NETHERLANDS
NORWAY
PORTUGAL*
Socialist Federal Republic of YUGOSLAVIA
SPAIN
SWEDEN
SWITZERLAND*
TURKEY
UNITED KINGDOM
UNITED STATES*

	£ s.	U.S. $	F	Sw. F.	DM
Price for each issue:	*—5*	*0.80*	*3*	*3*	*2.50*
Subscription price for series:	*3.3*	*10.*	*42*	*42*	*35*

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT